CA Final AFM – Question Bank

Chapter Summary & Topic-wise Index

1. Chapter-wise Question Count

Sr. No	Chapter No. & Name	LDR Qs (Section A)	Other Qs (Section B)
1	Chapter 1 – Financial Policy and Corporate Strategy	2	4
2	Chapter 2 – Risk Management	2	2
3	Chapter 3 – Advanced Capital Budgeting Decisions	20	33
4	Chapter 4 – Security Analysis	3	3
5	Chapter 5 – Security Valuation	14	77
6	Chapter 6 – Portfolio Management	9	69
7	Chapter 7 – Securitization	(no practical questions)	
8	Chapter 8 – Mutual Funds	10	46
9	Chapter 9 – Derivatives Analysis and Valuation	11	38
10	Chapter 10 – Foreign Exchange Exposure and Risk Management	17	68
11	Chapter 11 – International Financial Management	8	28
12	Chapter 12 – Interest Rate Risk Management	7	14
13	Chapter 13 – Business Valuation	10	28
14	Chapter 14 – Mergers, Acquisitions & Corporate Restructuring	11	42
15	Chapter 15 – Startup Finance	(no practical questions)	
	TOTAL	**124**	**452**

Total LDR Questions across QB	**124**
Total Non-LDR Questions (Section B) across QB	**452**
Total Questions in QB	**576**

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2. Topic-wise Index

Sr. No	Topic No. & Name	Section A Pg.	Section B Pg.
CHAPTER 1 – FINANCIAL POLICY AND CORPORATE STRATEGY			
1	Topic 1: Sustainable Growth Rate(SGR) & External Funding Requirement(EFR)	1	1
CHAPTER 2 – RISK MANAGEMENT			
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CHAPTER 3 – ADVANCED CAPITAL BUDGETING DECISIONS			
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2	Topic 2: Expected NPV & Probability Analysis	14	35
3	Topic 3: Standard Deviation & Coefficient Of Variation	16	42
4	Topic 4: Risk-Adjusted Discount Rate (RADR) & Certainty Equivalent	18	43
5	Topic 5: Sensitivity Analysis	19	46
6	Topic 6: Scenario & Simulation Analysis	22	49
7	Topic 7: Decision Tree Analysis	22	51
8	Topic 8: Real Options: Abandonment Option	24	51
9	Topic 9: Replacement Decision (NPV Approach)	26	52
10	Topic 10: Optimum Replacement Cycle & Equivalent Annual Cost	28	54
11	Topic 11: Adjusted Present Value (APV)	30	–
CHAPTER 4 – SECURITY ANALYSIS			
1	Topic 1: Technical Analysis – Moving Averages & Exponential Moving Average (EMA)	59	59
2	Topic 2: Efficient Market Hypothesis – Empirical Tests (Weak Form)	59	–
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2	Topic 2: Earnings-Based Valuation, Walter / Gordon / MM Models & EMH	67	90
3	Topic 3: FCFE Valuation, Rights Issue, Buyback & Bonus	68	95
4	Topic 4: Bond Valuation, YTM & Bond Refunding	69	104
5	Topic 5: Duration, Volatility, Convexity & Immunization	71	114
6	Topic 6: Convertibles, Preference Shares & Money Market Instruments	75	120
CHAPTER 6 – PORTFOLIO MANAGEMENT			
1	Topic 1: Return & Risk Of A Single Security	130	138
2	Topic 2: Portfolio Return & Risk – Two & Multiple Securities	131	140
3	Topic 3: Minimum-Variance / Optimal Portfolio & Markowitz Model	132	148
4	Topic 4: Beta, CAPM & Security Market Line (SML)	132	149
5	Topic 5: Capital Market Line (CML) & Capital Market Theory	134	–
6	Topic 6: Sharpe's Single-Index Model & Optimal Portfolio Construction	134	171
7	Topic 7: Arbitrage Pricing Theory (APT) & Factor Models	135	176
8	Topic 8: Portfolio Performance Evaluation & Revision	136	177
CHAPTER 7 – SECURITIZATION			
	No practical questions in this chapter		

Sr. No	Topic No. & Name	Section A Pg.	Section B Pg.
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4	Topic 4: Dividend Reinvestment, Bonus Plans And Issue Price Determination	191	220
5	Topic 5: Unit Pricing, Loads And Income Distribution (Dividend Equalization)	195	229
6	Topic 6: Evaluation Of Mutual Fund Performance	196	230
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3	Topic 3: Options – Payoffs & Trading Strategies	240	254
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5	Topic 5: Commodity Derivatives & Optimal Hedge Ratio	243	262
6	Topic 6: Real Options	243	263
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9	Topic 9: Transaction / Operating Exposure, Currency Swaps & Cross-Border Investment	277	310
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Sr. No	Topic No. & Name	Section A Pg.	Section B Pg.
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5	Topic 5: Enterprise And Equity Valuation For M&A	414	447
6	Topic 6: Acquisition Feasibility, Demerger, Buyback And Financial Restructuring	415	450
CHAPTER 15 – STARTUP FINANCE			
	No practical questions in this chapter		